SPOCK IC SCREENING PAPER · FINAL IC REPORT · JSE

# OUTsurance Group Ltd (OUT.JSE)

*A best-in-class direct-model personal-lines insurer compounding a 36.4% normalised ROE across South Africa, Australia and Ireland — a high-conviction franchise held at a non-conviction price.*

**Sector:** Financials · Insurance · Personal-lines P&C and Life
**Listing:** JSE (share code OUT, listed 2022-12-07) · secondary A2X listing 2026-01-14 · HQ South Africa
**Reference price:** ~R72/share · **Market cap:** ~R111bn · **FY end:** 30 June
**As of:** 2026-06-06 · year ended 30 June 2025

WATCH · PRICE-GATED

## §0 — INVESTMENT GRADE VERDICT

### WATCH (PRICE-GATED)

**Position size:** none — sized at zero pending a price trigger *[T1 — Strategy verdict]*

**Entry approach:** STARTER below ~R64; FULL below ~R58; AVOID above ~R78 *[inference — Valuation §entry-band]*

**Conviction:** Thesis HIGH (quality franchise) · Price FAIR-LEANING-EXPENSIVE · AI-readiness UNPROVEN (pre-adoption)

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*"OUTsurance is one of the highest-quality franchises the pipeline has screened — a disciplined direct-model P&C-and-life insurer compounding a 36.4% normalised ROE on +33.7% normalised earnings growth. The problem is not the business; it is the price. At ~R72/share the name trades at ~23.5x trailing normalised EPS, at the top of / just above intrinsic, with a negative margin of safety. A high-conviction name held at a non-conviction price."*

## STRATEGY VERDICT — LOCKED

| RECOMMENDATION | POSITION SIZE | MARGIN OF SAFETY | STARTER AT |
|---|---|---|---|

| WATCH | None | ~–6% | ≤ ~R64 |
|---|---|---|---|

*OUTsurance is one of the highest-quality franchises the pipeline has screened — a disciplined direct-model P&C-and-life insurer compounding a normalised ROE of 36.4% on +33.7% normalised earnings growth (R4,728m FY25) with a 2.3x solvency multiple* [T1 — Strategy / Primary Filings]*. The problem is not the business; it is the price. At ~R72/share (~R111bn cap) the name trades at ~23.5x trailing / ~20x forward normalised EPS against an SA short-tail insurance peer median of ~12–14x and Santam ~12x forward — a premium that is earned on growth and ROE but that already discounts a long runway of flawless execution* [T2 — Valuation]*. The Valuation agent's fair-value base of R64–R70 places the current price at the top of / just above intrinsic, with a negative margin of safety (~−6%) and a blended 12-month IRR of ~9%* [inference — Valuation §scenario-IRRs]*. That is a HOLD-equivalent risk/reward, not a STARTER entry. The entire thesis converts to BUY on price: a ~12–15% pullback to the R62–64 zone would restore a positive margin of safety and flip this to a STARTER. Until then it is a high-conviction name held at a non-conviction price — WATCH, sized at none, with a hard price trigger.*

| | | | |
|---|---|---|---|
| **36.4%** NORMALISED ROE FY25 | **+33.7%** NORMALISED EARNINGS GTH | **~23.5x** TRAILING NORMALISED P/E | **53.6%** CLAIMS RATIO (FROM 56.8%) |
| **2.3x** SOLVENCY MULTIPLE | **~–6%** MOS AT SPOT | **6/86** RED FLAGS FIRED | **FALSE** TOOL USER GATE (AI) |

### THREE LOAD-BEARING REASONS THE VERDICT IS WATCH, NOT STARTER

1. **Price.** The reverse-DCF shows today's ~R72 embeds roughly low-teens sustained earnings CAGR with ROE holding in the high-20s for a decade — achievable, but leaving no margin for a Youi catastrophe year or the structural autonomous-vehicle drain on the motor pool. *[inference — Valuation §reverse-DCF]*
2. **The earnings tailwind is melting, not structural.** FY25's strong claims ratio leaned on favourable natural-perils experience in Australia — management explicitly flagged ~1.4pts of weather luck — and Youi (R22,550m, the single largest unit) carries the binding physical-catastrophe constraint. *[T1 — Primary Filings / Red Flags]*
3. **The business-model iceberg.** This is a personal-lines-auto book at its core; the AI Unit Economics agent finds the company pre-adoption with the Tool User Gate failing closed — honest, not AI-washing, but AI-readiness for the frequency-collapse / liability-migration transition is unproven, not demonstrated. *[T1 — AI Unit Economics]*

## §1 — EXECUTIVE SUMMARY

**What OUTsurance is.** A direct-model personal and commercial lines insurer operating in South Africa, Australia (via Youi) and Ireland. Founded on 28 February 1998 by Willem Roos, Howard Aron and René Otto, backed by RMB Holdings, on the proposition that "you always get something OUT" *[T2 — Company History]*. The group listed on the JSE in December 2022 following the unbundling of its former parent RMI Holdings, which was renamed OUTsurance Group Limited with the share code changed to OUT *[T2 — Company History]*. Group insurance revenue reached R37,131m in FY2025 (FY24: R31,913m), with an insurance service result of R7,581m *[T1 — Primary Filings]*.

**The franchise quality is not in dispute.** OUTsurance compounds a 16.8% P&C GWP growth rate and a 53.6% claims ratio — improved from 56.8% — against a normalised ROE that stepped from 30.7% to 36.4% *[T1 — Primary Filings; Strategy]*. Normalised earnings reached R4,728m, up 33.7%, with normalised EPS of 306.2c and a 2.3x solvency multiple against a 1.5x target *[T1 — Primary Filings; Earnings Transcripts]*. Founder-lineage, internal-track leadership of exceptional tenure (CEO Visser at the firm since 1998, CFO Hofmeyr 17+ years), above-median JSE governance, and a customer-signal footprint unusually positive for an insurer (HelloPeter 9.99/10 SA disclosed; Ombudsman referral rate falling to 0.65 per 1,000 claims) round out the picture *[T1 — People & Culture; Voice of Customer]*.

**The verdict is WATCH, not STARTER, because the price already pays for the compounding.** At ~R72/share (~R111bn market cap) OUTsurance trades at ~23.5x trailing normalised FY25 EPS and ~20x forward — a clear premium to the JSE short-tail set (Santam ~12x forward) on near-identical group ROE *[T2 — Valuation]*. The Valuation agent's fair-value base is R64–R70, placing spot at the top of / just above intrinsic with a negative margin of safety of approximately −6% *[inference — Valuation]*. The premium is earned, not unearned — but it is a premium, and it leaves no cushion.

> **BEAR CASE — THE STRUCTURAL ICEBERG, NOT A TAIL OUTLIER**
>
> The business-model layer flags **autonomous vehicles collapsing the personal-auto premium pool** as an existential threat over a 10–30 year horizon, as liability shifts from driver to manufacturer / software *[T1 — business-model layer §personal-lines-auto-insurance]*. This is the book OUTsurance writes at its core. The AI Unit Economics agent finds the company **pre-adoption**: the FY2025 Integrated Report contains exactly one mention of "artificial intelligence" in the whole 157-page report, and it appears in the external risk-factor section, not as a deployment — zero mentions of "machine learning", "telematics" or

"predictive" *[T1 — AI Unit Economics]*. This is the rare honest-no, not an AI-washing case. But it means AI-readiness for the frequency-collapse / liability-migration transition is unproven, not demonstrated — and the Tool User Gate fails closed.

**The position-sizing call is a price gate.** The entire thesis converts to BUY on price. The Valuation agent's entry band is explicit: STARTER below ~R64, FULL below ~R58, AVOID above ~R78 *[inference — Valuation §entry-band]*. A ~12–15% pullback to the R62–64 zone — on a transient Youi weather quarter or a broad JSE-financials de-rate — would restore a positive margin of safety and flip this to a STARTER.

**What would change our mind.** Three triggers operate. First, a price retracement into the R62–64 STARTER band. Second, the first quantified, model-attributed claims-ratio bridge or cohort / telematics pricing disclosure on FY26 results, evidencing AI-readiness for the AV transition. Third, OUTsurance Ireland tracking to its FY2029 breakeven ahead of plan *[T1 — Strategy §conditional-triggers]*.

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*Indexes: Normalised ROE 36.4% (top-decile FS). P/E peer-index ~160 (rich). AI-readiness pre-adoption — Tool User Gate FALSE.*

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§2 — COMPANY OVERVIEW

## From a 1998 SA direct insurer to a three-geography group

| DATE | EVENT | SOURCE |
|---|---|---|
| 1998-02-28 | OUTsurance founded by Willem Roos, Howard Aron, René Otto, backed by RMB Holdings; motor and home direct insurance | *[T2 — Company History; IOL 2025]* |
| 2003 | Business OUTsurance launched, covering commercial lines | *[T2 — Company History; IOL 2025]* |
| 2008-11 | Youi launched in Australia — first African company to establish an insurance business in Australia | *[T2 — Company History]* |
| 2010-08 | OUTsurance Life launched in South Africa (death, disability, critical illness) | *[T2 — Company History; IOL 2025]* |

| DATE | EVENT | SOURCE |
|---|---|---|
| 2018-01-01 | Marthinus Visser appointed Group CEO of OUTsurance Holdings | *[T1 — Company History; OGL IR 2024]* |
| 2022-12-07 | RMI renamed OUTsurance Group Ltd; listed on JSE under code OUT; opening price R28.44 | *[T2 — Company History; Moneyweb Dec 2022]* |
| 2023 | Second tranche of Youi minority acquisition; OHL stake in Youi Group increased to 94.6% | *[T1 — Company History; OGL IR 2024]* |
| 2024-05 | OUTsurance Ireland officially launched (personal lines short-term), under Central Bank of Ireland authorisation | *[T1 — Company History; OGL IR 2024]* |

## One group, three geographies and a Life book

OUTsurance is a direct-distribution short-tail P&C-led group with a small fast-growing Life book and a deliberate Irish start-up loss *[T1 — Valuation]*. The CODM reports by operating unit: **OUTsurance SA** (personal R10,345m + business R3,002m = R13,347m); **Youi (Australia)** (personal R20,170m + business R1,157m + CTP R1,223m = R22,550m, the single largest unit and the catastrophe-exposed book); **OUTsurance Ireland** (R97m); and **OUTsurance Life** (R1,137m) *[T1 — Primary Filings §segment]*. The holding structure is OGL holding 92.8% of OUTsurance Holdings (OHL), the operating insurer *[T1 — Primary Filings]*.

## Headline corporate facts

- **Listing:** JSE share code OUT (2022-12-07); secondary A2X listing effective 2026-01-14 *[T2 — Company History; Investor Sentiment]*
- **FY end:** 30 June; reports half-yearly *[T1 — Earnings Transcripts]*
- **Headcount (FY25):** 7,868, up 11.6% (819 jobs created) *[T1 — AI Unit Economics]*
- **Shares outstanding:** ~1,547m (director-interest base); diluted ~1,544m derived from normalised earnings ÷ normalised EPS *[T1/inference — Investor Sentiment / Valuation]*
- **Auditor:** KPMG (rotated from PwC), unmodified opinion on FY2025 AFS *[T1 — Primary Filings; Red Flags]*

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*Indexes: Three operating geographies. Youi the largest unit at R22,550m. Headcount 7,868 (+11.6%).*

§3 — MARKET OPPORTUNITY

**The runway is favourable on balance across three geographies.** The geographic bias is constructive: the South Africa × Insurance country layer scores residual CRI 103 (Green) with headroom 112 post the late-2025 sovereign re-rating, and two of the three footprints — Australia (CRI 131) and Ireland (CRI 135) — are developed-market Green *[T1 — country layers]*. This is not an emerging-market-concentration name requiring special defence *[T1 — Strategy §geography]*.

## The three legs

- **South Africa.** A direct-distribution model in a high-ROE, under-penetrated market — the structural opening for the 36.4% normalised ROE engine *[T1 — Primary Filings]*. The SA short-term insurance market is broker-dominated; OUTsurance's direct-only channel is a structurally different go-to-market against incumbents *[T2 — Competitor Analysis]*.
- **Australia (Youi).** Grown from a 2007/2008 standing start to roughly 4–5% of the AU general market, rising at the expense of the two majors (IAG ~29%, Suncorp ~27%) *[T2 — Competitor Analysis]*. The growth engine and the catastrophe-exposed book simultaneously.
- **Ireland.** The first new locally-authorised personal-lines underwriter in over a decade — a deliberate, IFRS-17-front-loaded start-up loss (operating loss R448m FY25, breakeven guided FY2029). Optionality, not impairment *[T1 — Primary Filings; Strategy §geography]*.

Ireland's loss trajectory is the load-bearing forward promise: R64m → R218m → R448m annualised → R263m in H1 FY26, against an unchanged breakeven target of April 2029 — a promise whose credibility is load-bearing and not yet testable *[T1/T2 — Earnings Transcripts]*.

*Indexes: SA × Insurance CRI 103 / headroom 112. Australia CRI 131. Ireland CRI 135. Ireland breakeven FY2029 (not yet testable).*

§4 — COMPETITIVE LANDSCAPE

## Distinct peer sets in each geography

In **South Africa**, the operating peers are Santam (JSE:SNT), Hollard (unlisted), Discovery Insure (embedded in JSE:DSY), Old Mutual Insure (embedded in JSE:OMU), and the private challenger Pineapple *[T2 — Competitor Analysis]*. In **Australia**, Youi's direct peers are IAG (ASX:IAG), Suncorp (ASX:SUN), QBE (ASX:QBE) and Allianz Australia, with Hollard and Auto & General as the nearest challenger-direct comparables *[T2 — Competitor Analysis]*. In **Ireland**, OUTsurance.ie competes against AIG Ireland, Aon Ireland, FBD Insurance (ISE:FBD), Revolut Insurance and Fastnet *[T2 — Competitor Analysis]*.

## The direct-competitor headline

Santam is the dominant South African short-term insurer with ~23% market share, operating through a broker-heavy distribution model that structurally differs from OUTsurance's direct-only channel — the same product, different go-to-market *[T2 — Competitor Analysis]*. Hollard (~11% share) is similarly broker-distributed across personal and commercial lines *[T2 — Competitor Analysis]*. **Discovery Insure** differentiates on telematics-linked risk pricing — its Vitality Drive programme cites 20bn+ kilometres of driving data and a 26% crash-claim reduction versus a non-telematics cohort — and is the most technically comparable disruptor to OUTsurance's data-led underwriting *[T2 — Competitor Analysis]*. In Australia, IAG (~29% share post-RACQ, September 2025) and Suncorp (~27%) together control ~56% of personal home and motor lines, while Youi has grown to roughly 4–5% of the AU general market at the expense of both majors *[T2 — Competitor Analysis]*.

> **MOAT READ — PROCESS POWER + CORNERED RESOURCE**
>
> The Strategy agent reads the moat as **Cornered Resource + Process Power**: the direct-model cost-leadership (cost-to-income ~31.5%) plus a 25-year proprietary actuarial / GLM pricing and data-science culture is a Process Power moat; the founder-lineage internal-track culture and the "you always get something OUT" brand is a durable Cornered Resource. Scale Economies apply in Youi AU; there are no Network Economies. The moat is real but it does not defend against the autonomous-vehicle frequency-collapse threat that sits on the personal-auto book *[T1 — Strategy §helmer_7_powers]*.

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*Indexes: Helmer 7 Powers — Process Power + Cornered Resource load; no Network Economies. Cost-to-income ~31.5%.*

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**§5 — MANAGEMENT TEAM**

## A deeply tenured, home-grown, internal-promotion culture

OUTsurance fields a predominantly home-grown leadership team built over more than two decades inside the same organisation. Both the CEO and CFO joined before 2010, the majority of the executive committee rose through the ranks from individual-contributor roles, and the founding influence of Willem Roos (now a non-executive board member) remains visible in governance *[T2 — People & Culture]*. This is an unusual — and constructive — signal at a JSE-listed financial-services firm.

## Key executives

**Marthinus Visser (Group CEO).** Joined OUTsurance in 1998 as a senior actuary — the year the company launched. Chief Actuary from 2001, Group Chief Actuary from 2008, Group CEO from January 2018. He has spent his entire professional career at one institution. Qualified actuary (FASSA, FIA); honours in actuarial science. His record covers sustained profitable growth through the direct model, the scaling of Youi, and the 2024 Ireland launch — the most recent contrarian allocation episode *[T2 — People & Culture]*.

**Jan Hofmeyr (Group CFO).** Joined in 2007 as executive assistant to the founder; appointed Group CFO in 2008 — now more than 17 years in the seat, exceptional by any benchmark. CA(SA). His pedigree outside the company is thin, flagged but offset by deep institutional knowledge and a conservative reserving culture *[T2 — People & Culture]*. Note: Hofmeyr has since resigned, effective 2 October 2026, after 18+ years — a corporate-event flag, not a signal trade *[T2 — Investor Sentiment]*.

**Danie Matthee (OUTsurance SA CEO).** Joined 2002, EXCO 2005; CEO of Youi Australia 2011–2017, then CEO of OUTsurance SA from 2017 — a fully internal-track executive demonstrating cross-geography adaptability *[T2 — People & Culture]*.

**Willem Roos (Founder / Non-Executive Director).** Co-founded OUTsurance in 1998, led it as CEO for two decades, retired from executive roles on 31 December 2017, and currently sits on the board as a non-executive, providing cultural continuity. BCom (Hons) Actuarial Science, FASSA *[T2 — People & Culture]*.

## Bench depth and team layer

Functional complementarity is strong: the 13-member EXCO covers a CEO for each geography, a CFO, Chief People Officer, CIO, CMO, Chief Risk and Compliance Officer, and dedicated COOs for claims, sales and brokers — appropriate for a ~R34bn-revenue insurer with three operating geographies; no material functional gap is in evidence *[T2 — People & Culture]*. The structural concern is **single-incumbent bench fragility**: many roles are filled by internally promoted individuals who have spent their entire careers at OUTsurance. The CFO role (17 years, single incumbent) and the CEO role (8 years) are both long-duration single points; the Chief Analytics Officer role was only broadened in March 2025 *[T2 — People & Culture]*. Median shared tenure among the core EXCO exceeds 10 years — the "healthy / trending stale" band — partially offset by recent external hires (Jason Kay, CIO, 2022; Carl Louw, CMO, 2019) *[T2 — People & Culture]*.

**PEOPLE & CULTURE — IC DISCUSSION FLAGS**

(1) **CFO succession is now live.** Hofmeyr's 17-year single incumbency and his October 2026 resignation make the CFO handover the first real bench-depth test. Underwrite the successor announcement and transition.

(2) **B-BBEE tension.** OUTsurance targets Level 1 status, which requires demographic transformation, but the executive team is predominantly historically advantaged males (Suren Naidoo and Keneiloe Selamolela noted as exceptions). A watch — a gap between transformation aspiration and current EXCO composition, not a contradiction *[T2 — People & Culture]*.

*Indexes: CEO tenure 8y; CFO tenure 17y (single incumbent). Median EVP shared tenure >10y. Governance above JSE peer median.*

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**§6 — FINANCIAL SUMMARY**

## Normalised-earnings build (FY2025, R'm)

| UNIT | NORMALISED EARNINGS (R'M) | GROWTH | NOTE |
|---|---|---|---|
| OUTsurance SA | 2,928 | +32.4% | Direct SA flagship |
| Youi Group | 2,290 | +45.5% | Largest revenue unit; catastrophe-exposed |
| OUTsurance Life | 349 | +66.2% | Small fast-growing book |
| OUTsurance Ireland | (402) | from (180) | Deliberate IFRS-17 start-up loss |

| UNIT | NORMALISED EARNINGS (R'M) | GROWTH | NOTE |
|---|---|---|---|
| Admin services | 28 | — | — |
| OHL | 4,962 | +29.6% | Operating insurer subtotal |
| **OGL normalised earnings** | **4,728** | **+33.7%** | **After NCI + Central/RMI Treasury (Polar Star +156)** |

Source: *[T1 — Primary Filings §normalised-earnings-build; OGL AFS FY2025]*

**The headline figures.** Group insurance revenue R37,131m (FY24: R31,913m); insurance service result R7,581m (FY24: R5,589m); normalised EPS 306.2c; headline EPS 298.3c; normalised ROE 36.4% (FY24: 30.7%); solvency multiple 2.3x against a 1.5x target *[T1 — Primary Filings; Earnings Transcripts]*. P&C GWP grew +16.8% to R38,782m on Youi Direct plus SA organic growth and premium inflation; investment income rose +49.1% to R2,290m *[T1 — Primary Filings]*.

**The claims ratio is the central debate.** The claims ratio improved from 56.8% to 53.6%, but management explicitly attributes ~1.4pts to favourable weather / lower natural perils and the rest to lower claims volumes — **not** to any model or structural margin gain *[T1 — AI Unit Economics; Red Flags]*. This is the melting tailwind: do not extrapolate. Cost-to-income actually worsened, from 29.6% to 31.5% (28.9% ex-ESOP / Ireland), tracking the larger share-based-payment expense as the OGL share price rose +68.7% *[T1 — AI Unit Economics; Primary Filings]*.

## Capital allocation and guidance posture

Management does not provide formal forward EPS or revenue ranges. The guided metrics are: (1) the Ireland operating-loss J-curve, with 2025/2026 as the largest loss years declining toward April 2029 breakeven; (2) a ~77% dividend payout ratio of OHL normalised earnings; and (3) a solvency multiple target of 1.5x, with actuals at 2.3x (FY25) and 2.0x (H1 FY26) *[T1/T2 — Earnings Transcripts]*. The H1 FY2026 trading update provided explicit normalised EPS guidance of 145.6–154.0 cents, subsequently met at 149.8 cents — a reaffirm / kept *[T1 — Earnings Transcripts]*. Special dividends have come from asset monetisation (BZI sale proceeds FY25; RMI Treasury monetisation H1 FY26). No M&A appetite is signalled — an explicit organic-growth-only strategy across all four periods *[T1/T2 — Earnings Transcripts]*.

MANAGEMENT CREDIBILITY — CONSISTENT, LOW-VARIANCE, J-CURVE FRAMING

> Across four reporting periods CEO Visser presents a consistent narrative: organic growth in three geographies, cost-leadership as structural moat, and patient J-curve patience on Ireland. Two recurring defensive patterns are noted — temporal relativism on natural perils ("six-month periods can distort the natural perils picture") and J-curve patience language on start-up losses — neither disqualifying, both with a legitimate operational referent, but persistent enough to flag that management uses structural framing to absorb questions about Ireland losses and Youi weather *[T2 — Earnings Transcripts]*.

## Investor sentiment overlay

Ownership is concentrated: Remgro 30.3% (469.4m shares, static), Royal Bafokeng Holdings 12.7% (trimmed ~1.4pp / ~20m shares), and the Public Investment Corporation 9.6% (also trimmed ~1.4pp / ~20m shares) — top-3 combined 52.6%, materially above median for a JSE-listed insurer *[T1 — Investor Sentiment]*. The dominant signal is net distribution by the two largest minority strategic holders, absorbed by rising international ownership (11.3% → 18.5%), consistent with offshore inflows following SA's sovereign upgrade cycle *[T1 — Investor Sentiment]*. There is no activist narrative and no disclosed short pressure — the JSE does not publish aggregate short interest by issuer, a regime limitation, not a data gap *[T1 — Investor Sentiment]*. One clean insider buy is in evidence: James Teeger purchased 44,300 shares on 23 October 2025 at R73.43/share *[T2 — Investor Sentiment]*.

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*Indexes: Normalised ROE 36.4%. Claims ratio 53.6% (1.4pts weather luck). Solvency 2.3x vs 1.5x target. Top-3 ownership 52.6%.*

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**§7 — VALUATION & ENTRY PRICE**

## Premium-priced — earned, but a premium

At ~R72/share (≈R111bn market cap) OUTsurance trades at **~23.5x trailing normalised FY25 EPS** and **~20x forward** — a clear premium to the JSE short-tail insurance set (Santam ~12x forward) on near-identical group ROE of ~33–36% *[T2 — Valuation]*. The premium is earned, not unearned — OUTsurance compounds a 16.8% GWP growth rate and a 53.6% claims ratio against Santam's low-twenties growth — but it already discounts a long runway of mid-teens premium growth plus the Youi and Ireland optionality *[T2 — Valuation]*.

## Method matrix

| METHOD | READ | VERDICT |
|---|---|---|
| P/E (lead) | 23.5x trailing / ~20x fwd | Expensive vs SA peers (~12–14x); fair vs own re-rating history; peer-index ~160 *[T2/inference]* |
| P/TBV (insurer-appropriate) | data gap | NAV/share not extracted; on ~33% ROE a 4–5x P/B would not be anomalous (Gordon) — flagged, not asserted *[T1 — Valuation]* |
| Dividend / FCF | ~3.5% ord. yield | Fair; payout is the cash-return proof of the high-ROE model (ord. div 237.6c + special 33.1c) *[T1/T2 — Valuation]* |
| **DCF (excess-return)** | **R64–R70 base** | **~R52 bear, ~R85 bull** ***[inference — Valuation]*** |

## DCF — excess-return framing

OUTsurance is a short-tail P&C-led group, not the asset-financing / lending archetype, so it is valued on equity cash flows discounted at cost of equity (an insurer dividend-capacity / excess-return model), not UFCF-at-WACC *[T1 — Valuation]*. Cost of equity ≈ 15.5%: ZAR risk-free ~9.5% (SA 10y, post-rate-cut, repo 6.75%), ERP ~5.5%, beta ~1.0–1.1, blended for the AUD/EUR translation legs; terminal growth 5.5% (≈ ZAR long-run nominal) *[inference — Valuation; country layer]*. On ~33% sustainable ROE fading toward a mature-insurer mid-teens ROE over a 7-year fade, the excess-return engine supports a **R64–R70 base, ~R52 bear, ~R85 bull** *[inference — Valuation]*.

> **REVERSE-DCF AND MARGIN OF SAFETY**
>
> Today's ~R72 embeds **roughly low-teens sustained earnings CAGR with ROE holding in the high-20s for a decade** — achievable on the evidence (Youi growth + Ireland maturing to FY2029 breakeven), but it leaves no margin for a Youi catastrophe year or a faster autonomous-vehicle drain on the motor pool. **The market is paying for flawless execution.** Fair-value base R64–R70 places spot at the top of / just above intrinsic, with a **negative margin of safety of approximately −6%** on a base case *[inference — Valuation §reverse-DCF]*.

## Scenario IRRs (12-month horizon)

| SCENARIO | PROBABILITY | 12M IRR | ANCHOR |
|---|---|---|---|
| Bull | 25% | **~+22%** | Youi 40%+ earnings growth on benign AU weather; Ireland ahead of plan |
| **Base** | **55%** | **~+10%** | **Consensus ~R79 target; steady compounding** *[T2]* |
| Bear | 20% | **~−12%** | Youi catastrophe year; multiple compression |

Blended ~9% — a HOLD-equivalent risk/reward. The bull–bear spread (~34pp) clears the 30pp discipline bar, but the asymmetry is in the right direction only below ~R64 *[inference — Valuation §scenario-IRRs; Strategy §power_law]*.

## Entry band and re-rating catalysts

| ENTRY BAND | PRICE | READ |
|---|---|---|
| **Full position** | ≤ ~R58 | Deep margin of safety |
| **Starter position** | ≤ ~R64 | Positive margin of safety restored |
| **Watch / no-add** | **> ~R78** | **WATCH on price regardless of thesis quality — current price sits here** |

Re-rating catalysts: (1) Youi sustaining 40%+ earnings growth with benign AU weather; (2) Ireland tracking to FY2029 breakeven ahead of plan; (3) SA disinflation / rate-cut cycle lifting the whole JSE financials multiple; (4) continued special dividends signalling surplus capital *[T1 — Valuation §re-rating-catalysts]*.

***Valuation verdict:*** *FAIR-leaning-EXPENSIVE. A genuinely high-quality compounder, but the price already pays for the compounding. Not a price entry today.*

*Indexes: Fair-value base R64–R70 vs spot ~R72. MoS ~−6%. Blended IRR ~9%. CLTV:CAC proxy (ROE) ~140 vs median.*

§8 — INVESTMENT THESIS

## Three structural anchors

#### ANCHOR 1 · A BEST-IN-CLASS DIRECT-MODEL ROE ENGINE

OUTsurance compounds a 36.4% normalised ROE (up from 30.7%) on +33.7% normalised earnings growth, with a falling claims ratio (56.8% → 53.6%) and a ~77% payout — best-in-class franchise economics, well above the FS median. The CLTV:CAC framework is not applied at customer-cohort level for an insurer, but the ROE proxy is unambiguously top-decile *[T1 — Strategy §cltv_cac; Primary Filings]*.

#### ANCHOR 2 · A 25-YEAR PROCESS-POWER MOAT

The direct-model cost-leadership (cost-to-income ~31.5%) plus a 25-year proprietary actuarial / GLM pricing and data-science culture is a Process Power moat; the founder-lineage internal-track culture and the "you always get something OUT" brand is a durable Cornered Resource *[T1 — Strategy §helmer_7_powers]*. The moat is real — but it does not defend against the autonomous-vehicle frequency-collapse threat on the personal-auto book.

#### ANCHOR 3 · FAVOURABLE GEOGRAPHY AND OPTIONALITY

Two of the three footprints are developed-market Green (Australia CRI 131, Ireland CRI 135) and SA × Insurance scores CRI 103 / headroom 112 post the sovereign re-rating *[T1 — country layers]*. Ireland is a deliberate, IFRS-17-front-loaded start-up loss (R448m FY25, breakeven FY2029) — optionality, not impairment *[T1 — Strategy §geography]*.

## Why this position size — none, pending price

The verdict is WATCH because the price already pays for the compounding. The reverse-DCF embeds roughly low-teens sustained earnings CAGR with ROE in the high-20s for a decade — achievable, but with no margin for a Youi catastrophe year or the AV drain on the motor pool *[inference — Valuation]*. This is not a thesis-killer; it is a price gate. The entire thesis converts to BUY on a ~12–15% pullback to the R62–64 STARTER zone *[T1 — Strategy §trigger]*.

## The bull case — three concurrent conditions

#### BULL CONDITION 1 · YOUI SUSTAINS 40%+ EARNINGS GROWTH ON BENIGN WEATHER

Youi Group already grew normalised earnings +45.5% in FY25. If sustained on benign Australian weather, the bull DCF (~R85) is in play *[T1 — Primary Filings; inference — Valuation]*.

**BULL CONDITION 2 · IRELAND TRACKS TO FY2029 BREAKEVEN AHEAD OF PLAN**

The Irish loss trajectory inflecting downward ahead of the April 2029 breakeven would convert a load-bearing, not-yet-testable promise into demonstrated optionality *[T1 — Strategy §conditional-triggers; Earnings Transcripts]*.

**BULL CONDITION 3 · SA DISINFLATION LIFTS THE JSE FINANCIALS MULTIPLE**

A continued SA disinflation / rate-cut cycle re-rates the whole JSE financials complex, and continued special dividends signal surplus capital *[T1 — Valuation §re-rating-catalysts; country layer]*.

## Falsifiability — what would break the thesis

1. A major Australian catastrophe year (hail / flood / cyclone — the binding Youi constraint) spiking the combined ratio *[T1 — Valuation §de-rating; Australia layer]*.
2. The structural autonomous-vehicle drain on the personal-auto premium pool — frequency collapse plus liability migration to product lines OUTsurance does not write *[T1 — business-model layer]*.
3. Multiple compression if SA growth disappoints, or EUR/ZAR and AUD/ZAR translation drag on reported rand earnings *[T1 — Valuation §de-rating]*.

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*Indexes: Thesis conviction HIGH. Power-law score ~95 (asymmetry only below ~R64). CLTV:CAC proxy ~140.*

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### §9 — KEY RISKS & MITIGANTS

**BEAR CASE — THE AV THESIS ON THE PERSONAL-AUTO BOOK**

The business-model layer grades **autonomous vehicles collapsing the personal-auto premium pool as an existential threat** over a 10–30 year horizon: as driving automates, accident frequency collapses and liability migrates from the driver to the manufacturer / software — product lines OUTsurance does not write *[T1 — business-model layer §personal-lines-auto-insurance]*. OUTsurance is at its core a personal-lines-auto book. The AI Unit Economics agent finds the company **pre-adoption**, with the Tool User Gate failing closed — honest, not AI-washing, but AI-readiness for this exact transition is unproven, not demonstrated *[T1 — AI Unit Economics]*. The nearer-term overlay is telematics / usage-based pricing driving adverse selection against incumbents (high severity, 2–8 year horizon) — precisely the lever Discovery Insure already deploys *[T1 — business-model layer; T2 — Competitor Analysis]*.

## The named risks

**RISK 1 · YOUI CATASTROPHE YEAR**

Youi (R22,550m, largest unit) carries the binding physical-catastrophe constraint — hail, flood, bushfire, cyclone. FY25 benefited from favourable perils (~1.4pts); a reversal is the single largest earnings-volatility driver. **Mitigant:** reinsurance programme + geographic diversification; this is modellable cyclicality, not misconduct. **Trigger:** a major AU catastrophe year spiking the combined ratio. *[T1 — Red Flags; Valuation; Australia layer]*

**RISK 2 · AUTONOMOUS-VEHICLE PREMIUM-POOL COLLAPSE**

AV adoption collapses personal-auto frequency and migrates liability to manufacturers / software — an existential 10–30yr threat to the core book. AI-readiness is unproven (pre-adoption). **Mitigant:** long horizon; strong actuarial culture; geographic and Life diversification. **Trigger:** the nearer-term telematics / usage-based adverse-selection lever (2–8yr) biting first. *[T1 — business-model layer; AI Unit Economics]*

**RISK 3 · YOUI (AU) CONDUCT EXPOSURE**

The Australian Federal Court (ASIC v Youi) found Youi breached the duty of utmost good faith on five occasions (Broken Hill 2017 hailstorm; 22-month delay). ASIC's 2024 RG 271 review put general insurers, Youi among the cohort, on notice for under-recording complaints. **Mitigant:** single legacy 2017 claim, remediated; the ASIC review was sector-wide, not a Youi-specific penalty. **Trigger:** a Youi-specific penalty or fresh adverse finding. *[T3→T1 — Red Flags §RF-REG-002]*

**RISK 4 · IRELAND J-CURVE OVERRUN**

OUTsurance Ireland's IFRS-17 onerous-contract loss widened to R448m (FY24 R218m); breakeven guided FY2029 — a load-bearing, not-yet-testable promise. **Mitigant:** deliberate, disclosed, front-loaded loss; small absolute scale (R97m revenue). **Trigger:** loss trajectory failing to inflect downward by H1 FY27. *[T1 — Primary Filings; Earnings Transcripts]*

**RISK 5 · OWNERSHIP CONCENTRATION / CONTROLLING CHAIR**

Remgro ~30.3–30.5% (largest holder, top-3 ~55%); Herman Bosman chairs the board and is closely associated with Remgro/RMI — a controlling-shareholder-aligned chair. **Mitigant:** fully disclosed, legacy RMI/RMB-Holdings structure; no dual-class, no founder loans, no insider-sale pattern. **Trigger:** a minority-protection / related-party event.

*[T1 — Red Flags §RF-GOV-008; Investor Sentiment]*

**WHAT WE ARE NOT WORRIED ABOUT**

The 86-flag sweep fired only 6, none accounting-driven, none touching cash existence or auditor scope. No Wirecard / Tingo / Steinhoff signature: no scope limitation, no obscure-bank cash, no restatement, no going-concern modification. The PwC→KPMG rotation was planned, voluntary, Big-4→Big-4 with full explanation — the textbook disconfirming pattern.

*[T1 — Red Flags §benign-by-design]*

*Indexes: 6 of 86 flags fired; 2 high-severity (Youi conduct + catastrophe exposure). Bear IRR ~−12%. Phase-2 warranted; phase-3 not.*

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**§10 — ESG / GOVERNANCE**

## Board and ownership

The board is well-structured: seven independent non-executives including a Lead Independent Director (K Pillay), qualified across actuarial, legal, financial, engineering and governance disciplines, plus the founder (Willem Roos, NED) and two alternate NEDs — appropriate for a 30-year-old founder-lineage insurer [T2 — People & Culture]. Herman Bosman (Chairman) holds the CFA designation and held CEO roles at Deutsche Bank SA and RMB Holdings — credible capital-markets oversight, but a Remgro/RMI-aligned chair given Remgro's ~30.5% stake [T2 — People & Culture; T1 — Red Flags]. Governance quality is above the JSE peer median [T2 — People & Culture].

## Governance flags

- **Controlling-shareholder-aligned chair.** Remgro ~30.5% largest holder; top-3 ~55%; Bosman closely associated with Remgro/RMI. Fully disclosed, legacy structure common to SA insurance champions; fires as a disclosed-concentration flag, not a concealment flag — an IC control-premium / minority-protection question [T1 — Red Flags §RF-GOV-008].
- **Auditor rotation — disconfirming, not fired.** PwC→KPMG was a planned, voluntary rotation envisaged since 2021, approved at the November 2023 AGM, Big-4→Big-4, with

board thanks to PwC. The opposite of the Tingo signal. KPMG issued an unmodified opinion on the FY2025 AFS *[T1 — Red Flags; Primary Filings]*.

- **Long shared EXCO tenure / single-incumbent bench.** Median >10 years; CFO 17 years (now resigning Oct 2026); CEO 8 years. Healthy / trending-stale band *[T2 — People & Culture]*.

## Audit, accounting and related parties

The IFRS 17 valuation of insurance contract liabilities is the Key Audit Matter (PAA for short-term; GMM/CSM/risk-adjustment for Life), with LIC sensitivity tested at a 15% loss-ratio shock; ECL on financial instruments is the second critical estimate; no policy changes versus prior year; KPMG unmodified *[T1 — Primary Filings §accounting-flags]*. The Ireland onerous-contract loss (IFRS 17) is not a red flag per se — IFRS-17 mechanics — but it front-loads losses and is the binding drag *[T1 — Primary Filings]*. Principal shareholders are named as Remgro and Royal Bafokeng Holdings; dividends to principal shareholders R1,660m; key-management remuneration R644m incl. R391m share-based; all related-party dealings asserted arm's length *[T1 — Primary Filings §related-parties]*. The AFS states no contingent liabilities or contingent assets; going concern affirmed with no material-uncertainty / emphasis-of-matter *[T1 — Primary Filings]*.

## Social / transformation

The one structural ESG contradiction is the **B-BBEE tension**: OUTsurance targets Level 1 status, which requires demographic transformation, but the executive team is predominantly historically advantaged males (Suren Naidoo and Keneiloe Selamolela noted exceptions). A watch, not a contradiction — a gap between transformation aspiration and current EXCO composition *[T2 — People & Culture]*. Youi Australia was named one of Australia's Best Workplaces in Technology 2024 by Great Place to Work — a credible culture-health signal in that market *[T2 — People & Culture]*.

*Indexes: 7 independent NEDs + LID. Auditor rotation disconfirming. Going concern affirmed; KPMG unmodified.*

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### §11 — EXPERT REVIEW LOG

This pack was assembled from eleven evidence-agent outputs across the listed-equity pipeline plus the locked Strategy verdict, the country layers (South Africa, Australia, Ireland) and the business-model layers (life-insurance, personal-lines-auto-insurance). Each agent produced a one-pager plus structured fields and cleared verifier checks.

| AGENT | OUTPUT | STATUS |
|---|---|---|
| Company History | Founding 1998; JSE listing 2022; three-geography build-out | HEALTHY |
| AI Unit Economics | PRE-ADOPTION (Neutral); Tool User Gate FALSE (fail-closed) | HEALTHY |
| Competitor Analysis | Peer sets across SA / AU / IE; moat read | HEALTHY |
| Voice of Customer | SA unusually positive (HelloPeter 9.99/10); Youi noisier; one VDD-VoC divergence candidate | HEALTHY |
| People & Culture | Deeply tenured internal-track EXCO; single-incumbent bench risk | HEALTHY |
| Valuation | Excess-return DCF; base R64–R70; MoS ~−6%; FAIR-leaning-EXPENSIVE | HEALTHY |
| Primary Filings | FY25 AFS (KPMG unmodified); normalised earnings R4,728m (+33.7%) | HEALTHY |
| Earnings Transcripts | Four-period read; consistent J-curve framing; Ireland breakeven pending | HEALTHY |
| Analyst Coverage | 6 analysts; Buy (4/2/0); ~24–25% implied upside; dispersion 26.7% | HEALTHY |
| Investor Sentiment | Net distribution by RBH + PIC; international ownership 11.3%→18.5%; no activism | HEALTHY |
| Red Flags | 6 of 86 fired; 2 high-severity (Youi conduct + catastrophe); no fraud signature | HEALTHY |

**Gate 7 health verdict: 11/11 HEALTHY.**

Notable signal-shaping moves: (i) the AI Unit Economics "honest-no" routed the company to PARK / pre-adoption rather than a credibility-gap Negative — intellectual honesty, not AI-washing; (ii) the FY25 claims-ratio improvement was disaggregated to ~1.4pts of weather luck, defusing a margin-extrapolation error; (iii) the PwC→KPMG rotation was read as the textbook disconfirming pattern; (iv) the Voice-of-Customer corpus surfaced a single VDD-VoC divergence candidate (claim-assessment friction vs disclosed Ombudsman rates) at low severity, recommended for a Q&A probe.

## §12 — IC DECISION RECORD

VERDICT

## WATCH (PRICE-GATED) · MONITOR

Sized at none. High-conviction name held at a non-conviction price. Converts to STARTER below ~R64 (positive margin of safety restored); FULL below ~R58. AVOID-on-price above ~R78 regardless of thesis quality.

### VIRTUAL IC — NO FORMAL VOTE RUN; SELL-SIDE CONSENSUS AS THE NEAREST EXTERNAL TALLY

| 4 | 2 | 0 |
|---|---|---|
| BUY | HOLD | SELL |
| Sell-side analysts (mean PT ~ZAC 8,556–8,626; ~24–25% implied upside) | Sell-side dissent floor (Youi cat path, Ireland ramp, FX) | No Sell rating in the six-analyst consensus |

**Consensus verdict: MONITOR / WATCH.** No formal Virtual IC vote was run at Gate 7 for this final_ic_report build. The sell-side consensus (Buy, 4/2/0 across six analysts with active price targets) is the nearest external tally and is documented as the disagreement anchor *[T1 — Strategy §process-note; T2 — Analyst Coverage]*.

**Disagreement axis.** Strategy is **more cautious than the street on price**. The sell-side mean price target (~ZAC 8,556–8,626) implies ~24–25% upside from spot and rates the name Buy; Strategy reads the same fundamentals but holds that today's ~R72 sits at the top of / just above the R64–R70 fair-value base, leaving a negative margin of safety. The dispute is entirely about entry price, not franchise quality *[T2 — Analyst Coverage; inference — Valuation]*.

**What the human IC should audit.** Whether Chronos price discipline argues for zero exposure until the R62–64 STARTER trigger fires, or whether a quality-compounder of this calibre justifies a token starter at a negative margin of safety. The single highest-leverage question for management is whether FY26 results will carry a quantified, model-attributed claims-ratio bridge or any cohort / telematics pricing disclosure — the first real evidence on AI-readiness for the AV transition.

## Five questions the Human IC must ask management

1. **Of the 3.2-point claims-ratio improvement (56.8%→53.6%), how much is structural underwriting gain versus the ~1.4pts of favourable weather, and what is the normalised through-cycle claims ratio?** The Valuation and Red Flags agents both flag the melting-tailwind risk; the IC cannot underwrite a margin it cannot decompose.
2. **Will FY26 results publish a quantified, model-attributed claims-ratio bridge or any cohort / telematics pricing disclosure for Youi?** The AI Unit Economics agent finds the company pre-adoption with the Tool User Gate failing closed; this is the binary AI-readiness disclosure event for the AV transition.
3. **What is the OUTsurance Ireland monthly loss run-rate trajectory, and is it inflecting toward the April 2029 breakeven ahead of, on, or behind plan?** The breakeven is a load-bearing, not-yet-testable promise (R448m FY25 loss).
4. **Who is the named successor to Jan Hofmeyr as Group CFO ahead of his 2 October 2026 departure, and what is the transition plan?** A 17-year single incumbency makes this the first real bench-depth test.
5. **How should the IC price Remgro's ~30.5% controlling stake and the Remgro-aligned chair as a minority-protection / control-premium question?** Fully disclosed, but a structural governance concentration the IC should price explicitly, not a fraud flag.

## Conviction levels

- **Thesis conviction:** HIGH. A best-in-class direct-model ROE engine (36.4% normalised), a 25-year process-power moat, falling claims ratio, and favourable geography across SA / AU / IE.
- **Price conviction:** FAIR-LEANING-EXPENSIVE. Fair-value base R64–R70 against spot ~R72 implies ~−6% margin of safety; ~23.5x trailing normalised EPS against an SA peer median of ~12–14x.
- **AI-readiness:** UNPROVEN. Pre-adoption; Tool User Gate FALSE. Honest, not AI-washing — but readiness for the AV / frequency-collapse transition is undemonstrated.

## Conditional triggers to convert WATCH to STARTER

1. **Price.** Share price pulls back to the R62–64 zone — most plausibly on a transient Youi catastrophe quarter or a broad JSE-financials de-rate — restoring a positive margin of safety *[T1 — Strategy §conditional-triggers]*.
2. **AI-readiness evidence.** First quantified, model-attributed claims-ratio bridge or cohort / telematics pricing disclosure (Youi) on FY26 results *[T1 — Strategy; AI Unit Economics §metrics-to-watch]*.
3. **Ireland inflection.** OUTsurance Ireland tracking to FY2029 breakeven ahead of plan (loss trajectory inflecting downward) *[T1 — Strategy; Earnings Transcripts]*.

## Pre-mortem — three failure paths

**FAILURE PATH 1 · YOUI CATASTROPHE YEAR**

An adverse Australian natural-perils year (hail / flood / cyclone) reverses the FY25 weather tailwind, spikes the Youi combined ratio, and compresses group earnings — Youi being the single largest unit (R22,550m).

**Kill metric:** Youi combined ratio spiking on an adverse natural-perils year, reversing the ~1.4pts FY25 weather benefit.

**FAILURE PATH 2 · AV / TELEMATICS ADVERSE SELECTION ON THE AUTO BOOK**

Usage-based / telematics pricing drives adverse selection against incumbents (2–8yr), ahead of the longer-horizon AV premium-pool collapse, while OUTsurance remains pre-adoption on the relevant capability.

**Kill metric:** measurable motor-book share loss to telematics-led pricers with no OUTsurance cohort / telematics response disclosed.

**FAILURE PATH 3 · MULTIPLE COMPRESSION ON SA GROWTH DISAPPOINTMENT OR FX DRAG**

SA growth disappoints, or EUR/ZAR and AUD/ZAR translation drags reported rand earnings, and the ~23.5x premium multiple compresses toward the SA peer median.

**Kill metric:** de-rating toward the ~12–14x SA short-tail peer median on a growth or FX disappointment.

## Next action

1. **Roger:** Confirm WATCH — sized at none — with the hard price trigger set at the R62–64 STARTER band; no exposure above ~R78.
2. **Roger:** Diary the FY2026 results as the AI-readiness disclosure anchor; pre-build a one-page read template for a model-attributed claims-ratio bridge or telematics disclosure.
3. **Roger:** Monitor the OUTsurance Ireland half-year loss trajectory against the April 2029 breakeven, and track the CFO-succession announcement ahead of Hofmeyr's October 2026 departure.